Apex Athletics
(Industry 1)

FACILITIES AND EQUIPMENT

Year 12

FACILITY SPACE	North America	Europe-Africa	Asia-Pacific	Latin America	Total (all facilities)
Facility Space Available in Year 11 (000s of pairs)	5,000 pairs	0 pairs	6,000 pairs	0 pairs	11,000 pairs
Completion of New/Additional Space (construction initiated in Y11)	0	0	0	0	0
Facility Space Available (to house construction equipment in Y12)	5,000 pairs	0 pairs	6,000 pairs	0 pairs	11,000 pairs
Beginning Gross Investment in Facility Space ($000s)	$ 101,500	$ 0	$ 119,500	$ 0	$ 221,000
+ Investment in Additional Facility Space (initiated in Y11)	0	0	0	0	0
+ Capital Cost for Improved Working Conditions (CSRC)	0	0	0	0	0
Gross Investment in Facility Space ($000s)	101,500	0	119,500	0	221,000
– Accumulated Depreciation (through Year 11)	22,038	0	15,338	0	37,376
– Current Year 12 Depreciation (2.5% of gross investment)	2,538	0	2,988	0	5,526
Net Investment in Facility Space ($000s)	$ 76,924	$ 0	$ 101,174	$ 0	$ 178,098
Construction Work-In-Progress (new space to be available in Y13)	0 pairs	0 pairs	0 pairs	0 pairs	0 pairs
Capital Cost of Construction Work-In-Progress ($000s)	$ 0	$ 0	$ 0	$ 0	$ 0

FOOTWEAR PRODUCTION EQUIPMENT	North America	Europe-Africa	Asia-Pacific	Latin America	Total (all facilities)
Production Equipment In-Place in Y11 (000s of pairs without OT)	4,000 pairs	0 pairs	4,000 pairs	0 pairs	8,000 pairs
Purchase of Additional Equipment (at the beginning of Year 12) — **New**	0	0	0	0	0
Purchase of Additional Equipment (at the beginning of Year 12) — **Refurbished**	250	0	250	0	500
Equipment Sold (at the beginning of Year 12)	0	0	0	0	0
Production Equipment Available in Y12 (000s of pairs w/o OT)	4,250 pairs	0 pairs	4,250 pairs	0 pairs	8,500 pairs
Percentage of New vs. Refurbished Equipment in Y12	94.0% 6.0%	0.0% 0.0%	0.0% 100.0%	0.0% 0.0%	47.0% 53.0%
Beginning Gross Investment in Equipment ($000s)	$ 80,000	$ 0	$ 57,600	$ 0	$ 137,600
+ Capital Cost of New Equipment (purchased in Year 12)	0	0	0	0	0
+ Capital Cost of Refurbished Equipment (purchased in Y12)	3,600	0	3,600	0	7,200
+ Capital Cost of Production Improvement Options	6,800	0	6,800	0	13,600
+ Capital Cost of Energy Efficiency Initiatives	0	0	0	0	0
– Capital Cost of Equipment Sold	0	0	0	0	0
Gross Investment in Production Equipment	90,400	0	68,000	0	158,400
– Accumulated Depreciation (through Year 11)	56,000	0	28,800	0	84,800
– Current Year 12 Depreciation (10% of gross investment)	9,040	0	6,800	0	15,840
Net Investment in Production Equipment ($000s)	$ 25,360	$ 0	$ 32,400	$ 0	$ 57,760
Production Improvement Options — **New Option Ordered in Year 12**	none	none	none	none	
Production Improvement Options — **Capital Cost of Option Ordered** ($000s)	$ 0	$ 0	$ 0	$ 0	
Options in Place (ordered in prior year)	B	none	B	none	

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Apex Athletics
(Industry 1)

PRODUCTION AND WORKFORCE

Year 12

PRODUCTION STATISTICS		North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
		Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label
Footwear Production (000s of pairs)	Regular-Time Pairs	4,250	0	0	0	4,250	0	0	0	8,500	0
	Overtime Pairs	550	0	0	0	550	0	0	0	1,100	0
	Rejected Pairs	–106	–0	–0	–0	–182	–0	–0	–0	–288	–0
	Net Footwear Production	4,694	0	0	0	4,618	0	0	0	9,312	0
S/Q Rating of Pairs Produced		6.5★	3.0★	0.0★	0.0★	6.5★	4.1★	0.0★	0.0★		
Number of Models Produced		150	100	0	0	100	100	0	0		
		Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label	Branded	P-Label
Reject Rate (% of regular + overtime pairs)		2.2%	3.1%	0.0%	0.0%	3.8%	5.2%	0.0%	0.0%	3.0%	0.0%
Cost of Rejected Pairs	$ Thousands	2,535	0	0	0	3,648	0	0	0	6,183	0
	$ Per Pair	0.54	0.00	0.00	0.00	0.79	0.00	0.00	0.00	0.68	0.00
Production Capability (000s of pairs without OT)		4,250 pairs		0 pairs		4,250 pairs		0 pairs		8,500 pairs	
Total Production (including rejected pairs)		4,800 pairs		0 pairs		4,800 pairs		0 pairs		9,600 pairs	
Utilization of Production Capability (max = 120%)		113%		0%		113%		0%		113%	

WORKFORCE STATISTICS		North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
		Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Annual $ per Worker	Total Cost ($000s)	Total Cost ($000s)	
Workforce Compensation (in Year 12)	Base Wages	34,340	28,090	0	0	12,120	13,890	0	0	41,980	
	Incentive Pay	5,081	4,156	0	0	1,784	2,044	0	0	6,200	
	Fringe Benefits	3,007	2,460	0	0	1,536	1,760	0	0	4,220	
	Total Regular Comp.	42,428	34,706	0	0	15,440	17,694	0	0	52,400	
	Overtime Pay	7,325	5,992	0	0	2,584	2,961	0	0	8,953	
	Total Compensation	49,753	40,698	0	0	18,024	20,655	0	0	61,353	
Best Practices Training Expenditures (in Y12)		600	491	0	0	400	458	0	0	949	
Supervisory Compensation (salary + benefits)		60,600	1,212	0	0	25,250	732	0	0	1,944	
Incentive Pay as % of Regular Compensation		12.0%		0.0%		11.6%		0.0%			
Cumulative Best Practices (total $ per worker)		1,800		0		1,200		0			
		Year 11	**Year 12**	Year 11	**Year 12**	Year 11	**Year 12**	Year 11	**Year 12**	Year 11	**Year 12**
Workforce Productivity (pairs per worker per year)		5,206	**5,194**	0	**0**	3,684	**3,708**	0	**0**		
Number of Workers Employed		768	**818**	0	**0**	1,086	**1,146**	0	**0**	1,854	**1,964**
Number of Supervisors Employed		19	**20**	0	**0**	27	**29**	0	**0**	46	**49**

BRANDED PRODUCTION COSTS	North America		Europe-Africa		Asia-Pacific		Latin America		Total (all facilities)	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Materials Costs	38,294	8.16	0	0.00	41,021	8.88	0	0.00	79,315	8.52
Production Labor	40,698	8.67	0	0.00	20,655	4.47	0	0.00	61,353	6.59
Best Practices Training	491	0.10	0	0.00	458	0.10	0	0.00	949	0.10
Supervisory Costs	1,212	0.26	0	0.00	732	0.16	0	0.00	1,944	0.21
Enhanced Styling/Features	6,450	1.37	0	0.00	4,300	0.93	0	0.00	10,750	1.15
TQM/6-Sigma Program	11,040	2.35	0	0.00	14,400	3.12	0	0.00	25,440	2.73
Production Run Setup	1,625	0.35	0	0.00	1,000	0.22	0	0.00	2,625	0.28
Facilities Maintenance	3,402	0.72	0	0.00	4,339	0.94	0	0.00	7,741	0.83
Depreciation Expense	11,578	2.47	0	0.00	9,788	2.12	0	0.00	21,366	2.29
Total Production Costs	114,790	24.45	0	0.00	96,693	20.94	0	0.00	211,483	22.71

This section lists costs for branded production only. Private-Label production costs are listed separately in the Private-Label Operations report.

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Apex Athletics
(Industry 1)

DISTRIBUTION AND WAREHOUSE

Year 12

WAREHOUSE OPERATIONS (branded)	North America			Europe-Africa			Asia-Pacific			Latin America			Total
All pair figures in thousands.	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs	Models	S/Q	Pairs
Ending Inventory from Year 11	65	151	6.6★	55	151	6.6★	43	151	6.5★	42	150	6.6★	205
Inventory Clearance (at the beginning of Y12)	0			0			0			0			0
Beginning Year 12 Inventory	65	151	6.6	55	151	6.6	43	151	6.5	42	150	6.6	205
Incoming Year 12 Shipments from — North America Facility	1,600	150	6.5	1,944	150	6.5	750	150	6.5	400	150	6.5	4,694
Europe-Africa Facility	0	0	0.0	0	0	0.0	0	0	0.0	0	0	0.0	0
Asia-Pacific Facility	850	100	6.5	879	100	6.5	1,400	100	6.5	1,489	100	6.5	4,618
Latin America Facility	0	0	0.0	0	0	0.0	0	0	0.0	0	0	0.0	0
Pairs Available for Sale in Year 12	2,515	133	6.5★	2,878	135	6.5★	2,193	118	6.5★	1,931	112	6.5★	9,517
Pairs Sold — Internet Segment	405	405	Actual	439	439	Actual	345	345	Actual	263	263	Actual	1,452
Wholesale Segment	2,053	2,158	Branded	2,366	2,351	Branded	1,804	1,866	Branded	1,629	1,725	Branded	7,852
Total Branded Sales	2,458	2,563	Demand	2,805	2,790	Demand	2,149	2,211	Demand	1,892	1,988	Demand	9,304
Required Inventory (needed to achieve delivery time)	57			63			44			39			203
Inventory Surplus (Shortfall)	-105			10			-62			-96			-253
Ending Year 12 Inventory (unsold pairs)	57	133	6.5★	73	135	6.5★	44	118	6.5★	39	112	6.5★	213

COST OF BRANDED PAIRS SOLD	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Cost of Beginning Year 12 Inventory	1,729	0.70	1,802	0.64	1,035	0.48	1,475	0.78	6,041	0.65
+ Production Cost of Incoming Pairs	56,933	23.16	65,936	23.51	47,660	22.18	40,954	21.65	211,483	22.73
± Exchange Rate Cost Adjustments	-158	-0.06	2,297	0.82	165	0.08	1,482	0.78	3,786	0.41
+ Freight on Incoming Pairs	3,300	1.34	5,646	2.01	2,900	1.35	3,778	2.00	15,624	1.68
+ Import Tariffs on Incoming Pairs	3,400	1.38	16,938	6.04	6,000	2.79	18,890	9.98	45,228	4.86
– Cost of Ending Year 12 Inventory	1,478	0.60	2,349	0.84	1,159	0.54	1,345	0.71	6,331	0.68
Cost of Branded Pairs Sold in Year 12	63,726	25.93	90,270	32.18	56,601	26.34	65,234	34.48	275,831	29.65

WAREHOUSE EXPENSES	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Inventory Storage Costs (on Y11 carried over)	33	0.01	28	0.01	22	0.01	21	0.01	104	0.01
Packaging & Shipping Costs — Internet	5,123	2.08	5,553	1.98	4,364	2.03	3,327	1.76	18,367	1.97
Wholesale	7,467	3.04	8,453	3.01	6,683	3.11	6,131	3.24	28,734	3.09
Warehouse Lease and Maintenance	1,000	0.41	1,000	0.36	1,000	0.47	1,000	0.53	4,000	0.43
Total Warehouse Operating Expenses	13,623	5.54	15,034	5.36	12,069	5.62	10,479	5.54	51,205	5.50

INVENTORY CLEARANCE	North America		Europe-Africa		Asia-Pacific		Latin America		Total	
	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Revenues from Pairs Cleared	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
± Exchange Rate Cost Adjustments	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Net Revenues from Pairs Cleared	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Direct Costs — Production / Freight / Tariffs	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Inventory Storage	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Packaging / Shipping	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Margin Over Direct Costs	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00

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MARKETING AND ADMINISTRATIVE EXPENSES

Year12

MARKETING EXPENSES		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Internet Segments	Search Engine Advertising	3,750	9.26	1,250	2.85	1,500	4.35	1,000	3.80	7,500	5.17
	Website Maintenance	882	2.18	889	2.03	822	2.38	796	3.03	3,389	2.33
	Brand Advertising (Note 1)	1,978	4.88	1,878	4.28	1,284	3.72	1,738	6.61	6,878	4.74
	Celebrity Endorsements (Note 2)	370	0.91	401	0.91	315	0.91	240	0.91	1,326	0.91
	Total Internet Marketing	6,980	17.23	4,418	10.06	3,921	11.37	3,774	14.35	19,093	13.15
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Wholesale Segments	Brand Advertising (Note 1)	10,022	4.88	10,122	4.28	6,716	3.72	10,762	6.61	37,622	4.79
	Rebate Redemption	2,566	1.25	2,958	1.25	2,255	1.25	2,036	1.25	9,815	1.25
	On-Time Delivery	1,540	0.75	1,775	0.75	1,353	0.75	1,222	0.75	5,890	0.75
	Retailer Support	8,196	3.99	8,412	3.56	4,001	2.22	4,186	2.57	24,795	3.16
	Celebrity Endorsements (Note 2)	1,876	0.91	2,162	0.91	1,649	0.91	1,489	0.91	7,176	0.91
	Total Wholesale Marketing	24,200	11.79	25,429	10.75	15,974	8.85	19,695	12.09	85,298	10.86

Note 1: Brand advertising expenditures in each region are allocated to the internet and wholesale segments based on each segment's percentage of total branded pairs sold in the region.

Note 2: Expenditures for celebrity endorsements are allocated to the internet and wholesale segments based on each segment's percentage of total branded pairs sold in the region.

ADMINISTRATIVE EXPENSES		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Executive Salaries (Note 1)		1,402	0.57	1,599	0.57	1,225	0.57	1,079	0.57	5,305	0.57
Corporate Overhead (Note 2)		2,774	1.13	3,166	1.13	2,426	1.13	2,136	1.13	10,500	1.13
CSRC Initiatives	Ethics Training / Enforcement	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Cafeteria / On-Site Child Care	159	0.06	181	0.06	139	0.06	122	0.06	600	0.06
	Ventilation / Lighting / Safety	132	0.05	151	0.05	116	0.05	102	0.05	500	0.05
	Supplier Code of Conduct	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Fixed Costs of Idled Prodcution Facility (Note 3)		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Total Administrative Expenses (Note 4)		4,467	1.82	5,097	1.82	3,906	1.82	3,439	1.82	16,905	1.82

Note 1: Executive salaries totaled $5 million in Year 10 and increase at a rate of 3% annually.

Note 2: Corporate overhead expenses include $1.00 for each pair of production capability (without overtime) company-wide and $1 million for each production facility. Corporate overhead will increase or decrease as company-wide footwear production capability increases or decreases. Also, if the company holds celebrity endorsement contract(s) but sells no branded pairs (private-label sales only), then the total annual cost of celebrity contracts is assigned to corporate overhead.

Note 3: If no pairs are produced at a production facility in a given year, the annual maintenance and depreciation expenses (fixed costs) for the facility are treated as administrative expenses rather than allocated to the production costs at other active facilities.

Note 4: Administrative expenses are calculated for the company in total and then allocated to the branded segments based on each segment's percentage of total branded pairs sold. For accounting purposes and for purpose of profit/loss calculations, no administrative expenses are allocated to private-label sales.

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PRIVATE–LABEL OPERATIONS

Year 12

CONTRACT OFFERS		North America	Europe-Africa	Asia-Pacific	Latin America	Total
Offers to Private Label Buyers	Offer Price ($ per pair)	29.50	36.50	30.00	35.00	
	Pairs Offered (000s)	0 pairs	0 pairs	0 pairs	0 pairs	0 pairs
	S/Q Rating	0.0★	0.0★	0.0★	0.0★	
	Number of Models	0	0	0	0	
Offer Accepted / Declined		No Offer	No Offer	No Offer	No Offer	
Pairs Produced / Sold (000s)		0 pairs	0 pairs	0 pairs	0 pairs	0 pairs

PRODUCTION AND SHIPPING		North America Facility		Europe-Africa Facility		Asia-Pacific Facility		Latin America Facility		Total (all facilities)	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Production Costs	Materials Costs	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Labor Costs	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Best Practices Training	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Supervisory Costs	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Enhanced Styling / Features	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	TQM/6-Sigma Program	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Production Run Setup	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Facilities Maintenance	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Depreciation Expense	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Total Production Costs	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Private-Label Production (000s of pairs)	Regular-Time Pairs	0 pairs		0 pairs		0 pairs		0 pairs		0 pairs	
	Overtime Pairs	0		0		0		0		0	
	Rejected Pairs	–0 (3.1%)		–0 (0.0%)		–0 (5.2%)		–0 (0.0%)		–0 (0.0%)	
	Net Production	0 pairs		0 pairs		0 pairs		0 pairs		0 pairs	
Shipments To (000s of pairs)	N.A. Warehouse	0 pairs		0 pairs		0 pairs		0 pairs		0 pairs	
	E-A Warehouse	0		0		0		0		0	
	A-P Warehouse	0		0		0		0		0	
	L.A. Warehouse	0 pairs		0 pairs		0 pairs		0 pairs		0 pairs	

REVENUES / COSTS / MARGINS		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Private-Label Revenues		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
± Exchange Rate Adjustments		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Net Private-Label Revenues		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Direct Costs	Production Costs	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	± Exchange Rate Adjustments	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Freight	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Import Tariffs	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Packaging / Shipping	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Margin Over Direct Costs		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00

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INCOME STATEMENT

Year 12

CONSOLIDATED INCOME STATEMENT		North America	Europe-Africa	Asia-Pacific	Latin America	Company Total
Segment Revenues	Internet	35,154	36,876	25,185	26,116	123,331
	Wholesale (see Note 1)	127,286	141,960	90,200	100,998	460,444
	Private-Label	0	0	0	0	0
Gross Revenues from Footwear Sales		162,440	178,836	115,385	127,114	583,775
± Exchange Rate Adjustments		0	-6,617	-1,027	-5,412	-13,056
Net Revenues from Footwear Sales		162,440	172,219	114,358	121,702	570,719
Operating Costs	Cost of Pairs Sold (see Note 1)	63,726	90,270	56,601	65,234	275,831
	Warehouse Expenses	13,623	15,034	12,069	10,479	51,205
	Marketing Expenses	31,180	29,847	19,895	23,469	104,391
	Administrative Expenses	4,467	5,097	3,906	3,439	16,909
Operating Profit (Loss)		49,444	31,971	21,887	19,081	122,383
Interest Income (Expense)						-7,189
Other Income or (Expense) (see Note 2)						0
Pre-Tax Profit (Loss)						115,194
Income Taxes (see Note 3)						34,558
Net Profit (Loss)						80,636

Profitability and Payout	Year11	Year12
Earnings Per Share	$3.12	**$4.17**
Dividends Per Share	$0.00	**$0.00**

Note 1: These items also include revenues collected from and costs associated with inventory clearance at the beginning of the year. For more details on inventory clearance, see the last section of the Distribution and Warehouse report.

Note 2: This item includes charitable contributions and/or instructor-awarded refunds and/or instructor-imposed fines (appearing as negative).

Note 3: The income tax rate is 30%. If a net loss was recorded in the prior year, the loss is carried forward and may offset some or all taxable income in the current year and reduce current-year income taxes.

BRANDED MARKET PERFORMANCE

INTERNET MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross Revenues from Internet Sales		35,154	86.80	36,876	84.00	25,185	73.00	22,828	86.80	120,043	82.67
± Exchange Rate Adjustments		0	0.00	-1,364	-3.11	-224	-0.65	-998	-3.79	-2,586	-1.78
Gross Internet Revenues		35,154	86.80	35,512	80.89	24,961	72.35	21,830	83.00	117,457	80.89
Customer-Paid Shipping Fees		0	0.00	0	0.00	0	0.00	3,288	12.50	3,288	2.26
Net Internet Revenues		35,154	86.80	35,512	80.89	24,961	72.35	25,118	95.51	120,745	83.16
Operating Costs	Cost of Pairs Sold	10,500	25.93	14,128	32.18	9,087	26.34	9,068	34.48	42,783	29.46
	Warehouse Expenses	5,293	13.07	5,714	13.02	4,528	13.12	3,469	13.19	19,004	13.09
	Marketing Expenses	6,980	17.23	4,418	10.06	3,921	11.37	3,774	14.35	19,093	13.15
	Administrative Expenses	736	1.82	798	1.82	627	1.82	478	1.82	2,639	1.82
Operating Profit (Loss)		11,645	28.75	10,454	23.81	6,798	19.70	8,329	31.67	37,226	25.64
		Year11	**Year12**	Year11	**Year12**	Year11	**Year12**	Year11	**Year12**	Year 11	**Year12**
Segment Statistics	Pairs Sold (000s)	428	**405**	400	**439**	293	**345**	234	**263**	1,355	**1,452**
	Market Share	12.1%	**10.4%**	13.2%	**13.0%**	12.5%	**12.7%**	9.9%	**9.6%**	12.1%	**11.6%**
	Operating Profit Margin	29.7%	**33.1%**	27.3%	**29.4%**	32.0%	**27.2%**	32.2%	**33.2%**	29.9%	**30.8%**

WHOLESALE MARKET PERFORMANCE		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair	$000s	$/Pair
Gross WHolesale Revenues		127,286	62.00	141,960	60.00	90,200	50.00	100,998	62.00	460,444	58.64
± Exchange Rate Adjustments		0	0.00	-5,253	-2.22	-803	-0.45	-4,414	-2.71	-10,470	-1.33
Net Wholesale Revenues		127,286	62.00	136,707	57.78	89,397	49.55	96,584	59.29	449,974	57.31
Operating Costs	Cost of Pairs Sold	53,226	25.93	76,142	32.18	47,514	26.34	56,166	34.48	233,048	29.68
	Warehouse Expenses	8,330	4.06	9,320	3.94	7,541	4.18	7,010	4.30	32,201	4.10
	Marketing Expenses	24,200	11.79	25,429	10.75	15,974	8.85	19,695	12.09	85,298	10.86
	Administrative Expenses	3,731	1.82	4,299	1.82	3,279	1.82	2,961	1.82	14,270	1.82
Operating Profit (Loss)		37,799	18.41	21,517	9.09	15,089	8.36	10,752	6.60	85,157	10.85
		Year11	**Year12**	Year11	**Year12**	Year11	**Year12**	Year11	**Year12**	Year11	**Year12**
Segment Statistics	Pairs Sold (000s)	2,104	**2,053**	1,758	**2,366**	1,389	**1,804**	1,415	**1,629**	6,666	**7,852**
	Market Share	11.4%	**10.9%**	11.1%	**14.3%**	11.2%	**13.6%**	11.4%	**12.2%**	11.3%	**12.7%**
	Operating Profit Margin	18.5%	**29.7%**	16.6%	**15.7%**	19.7%	**16.9%**	12.7%	**11.1%**	16.8%	**18.9%**

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Apex Athletics
(Industry 1)

Balance Sheet & Cash Flow Statement

Year 12

BALANCE SHEET

ASSETS	$000s
Cash On Hand	54,911
Accounts Receivable (see Note 1)	112,494
Footwear Inventories	6,331
Total Current Assets	173,736
Net Investment in Facilities and Equipment	235,858
Construction Work In Progress (for new space)	0
Production Improvement Options On Order	0
Total Fixed Assets (see Note 2)	235,858
Total Assets	409,594

LIABILITIES	$000s
Accounts Payable (see Note 3)	19,829
1-Year Bank Loan Payable (see Note 4)	0
Current Portion of Long-Term Bank Loans (see Note 5)	9,900
Overdraft Loan Payable (see Note 6)	0
Total Current Liabilities	29,729
Long Term Bank Loans Outstanding (see Note 7)	59,400
Total Liabilities	89,129

SHAREHOLDER EQUITY	Beginning Balance	Change in Y12	$000s
Common Stock (see Note 8)	19,800	-446	19,354
Additional Capital (see Note 9)	104,140	-25,355	78,785
Retained Earnings (see Note 10)	141,690	80,636	222,326
Total Shareholder Equity	265,630	54,835	320,465
Return On Average Shareholder Equity (see Note 11)			27.5%

Note 1: *Of the $449,974 of wholesale and private-label net revenues reported on the Y12 income statement, 75% was collected in Y12 and 25% will be collected in Y13.*

Note 2: *For more details on fixed asset investment, see the Facilities and Equipment report (page 1 of these Company Operating Reports).*

Note 3: *Of the $79,315 of materials used for footwear production in Year 12, 75% was paid for in Year 12 and 25% will be paid for in Year 13.*

Note 4: *The company's Year 12 interest rate for a 1-year bank loan was 5.5%.*

Note 5: *This item represents the principal portion of all outstanding 5-year and 10-year bank loans due to be repaid in the upcoming year (Year 13).*

Note 6: *Loans for overdrafts are incurred automatically to prevent a negative year-end cash balance at an interest rate that is 2.0% higher than the company's 1-year loan rate.*

Note 7: *Long-term bank loans outstanding:*

Loan Number	Initial Year	Original Principal	Interest Rate	Term	Out-standing Principal	Annual Principal Payment	Year13 Interest Payable
1	Y4	60,000	8.2%	10-yr	0	6,000	0
2	Y9	99,000	7.7%	10-yr	69,300	9,900	5,336
3							
4							
5							
6							
7							
8							
9							
10							
11							
12							
13							
14							
15							
16							

Note 8: *There are 19,354k shares of stock issued and outstanding at a par value of $1.00 per share. The authorized maximum number of shares outstanding is 50,000k.*

Note 9: *Additional Capital represents the dollar amount over and above par value that shareholders have paid to purchase new shares of common stock.*

Note 10: *Retained Earnings is a summation of all after-tax profits the company has earned that have not been distributed to shareholders in the form of dividends.*

Note 11: *The formula for Return On Average Shareholder Equity is:*

$$\frac{\text{After-Tax Profit}}{\text{(Beginning Equity + Ending Equity)} \div 2}$$

CASH FLOW STATEMENT

CASH INFLOWS IN YEAR 12		$000s
Beginning Cash Balance (carried over from prior year)		29,624
Cash Inflows	Receipts from Footwear Sales (see Note 1)	555,930
	Bank Loans — 1-Year Loan	0
	5-Year Loan	0
	10-Year Loan	0
	Stock Issue (0 shares issued)	0
	Sale of Production Equipment	0
	Interest Income on Y11 Cash Balance (sobre el saldo de A11)	385
	Loan to Cover Overdraft (1-year loan @ 8.0%)	0
	Cash Refund (awarded by instructor)	0
Total Cash Available from All Sources		585,939

CASH OUTLAYS IN YEAR 12		$000s
Cash Outlays	Payments to Materials Suppliers (see Note 2)	79,254
	Production Expenses (excluding depreciation – see Note 3)	114,588
	Distribution and Warehouse Expenses	112,057
	Marketing and Administrative Expenses	121,296
	Capital Outlays — Facility Expansion (new space)	0
	Equipment Purchases	7,200
	Production Imp. Options	800
	Energy Efficiency Initiatives (RSCC)	0
	Bank Loan Repayment (see Note 4) — 1-Year Loan	0
	5-Year Loans	0
	10-Year Loans	27,900
	Interest Payments — Bank Loans	7,574
	Y11 Overdraft Loan	0
	Stock Repurchase (446 shares repurchased @ $57.85)	25,801
	Income Tax Payments	34,558
	Dividend Payments to Shareholders	0
	Charitable Contributions	0
	Cash Fine (assessed by instructor)	0
Total Cash Outlays		531,028
Net Cash Balance (at the end of Year 12)		54,911

Note 1: *This item consists of all internet revenues recorded in Y12, 75% of wholesale and private-label revenues recorded in Y12, and accounts receivable from Y11 sales.*

Note 2: *This item consists of 75% of the cost of Y12 production materials and 25% of Y11 production materials costs due to a 3-month lag in payments to materials suppliers.*

Note 3: *This item includes all Y12 production-related expenses (adjusted for exchange rate cost impacts) except for depreciation (which is a non-cash accounting charge).*

Note 4: *All 1-year loans (including overdraft loans) received in Year 11 were repaid in full in Year 12. Interest on all 1-year loans received in Year 11 was also paid in Year 12.*

SELECTED FINANCIAL STATISTICS

Credit Rating Measures	Interest Coverage Ratio (oper. profit ÷ interest exp.)	17.02
	Debt to Assets Ratio (total liabilities ÷ total assets)	0.22
	Default Risk Ratio (cash flow from ops ÷ principal paymts)	6.42
	Risk of Default (see Note 1)	Low
	Credit Rating (at the end of Year 12)	A+
Current Ratio (current assets ÷ current liabilities)		5.84
Operating Profit Margin (operating profit ÷ net sales revenues)		21.4%
Net Profit Margin (net profit ÷ net sales revenues)		14.1%
Dividend Payout (dividends per share ÷ earnings per share)		0.0%
Cash Flow from Operations (after-tax profit + depreciation)		102,002
Total Principal Payments ($000s to be paid in Year 12)		15,900

Note 1: *A default risk ratio of 4.00 or higher results in a Low default risk, 2.00 to 4.00 results in a Meduim default risk, and below 2.00 results in a High default risk.*

Note: *Because demand and sales figures are rounded to the nearest 1000 pairs, minor anomalies in the company's financial statements may occasionally occur. Any rounding inconsistencies that do appear will be smaller than ±50 and will likely average-out over time. Such rounding anomalies have no significant impact on company performance.*

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